



CIE Level 1

Getting Started with Entrepreneurship

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Post Session

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Activity 1 (Team) - Revenue Streams



- Pick the right revenue stream for your startup:
 - Subscription, Usage, One-time (transaction cost), etc
- Estimate yearly revenue stream(s) for your startup for first 3 years
- To start with, list the underlying assumptions. Estimate/calculate below (use MS Excel if needed):
 - A. Number of units / users
 - B. Price per unit / user **per unit time (hr/day/wk/etc)**
 - C. At the simplest level, Revenue is **A*B** per unit time
 - D. From C, you can calculate **revenue per month**
 - E. From D, you can calculate **revenue per year** (for Year 1).
 - F. If any assumptions change (# of users, units, price, etc) you can calculate revenue similarly for Year 2 & Year 3)
- **Share on Team Wall.**

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Activity (Team) - Cost



- Estimate yearly cost for your startup for first 3 years
- To start with, list the underlying assumptions
- Estimate/calculate below (use MS Excel if needed):
 - A. Operational costs
 - i. **Physical infrastructure** (rental, etc), **human resources** (salary for people involved in Key Activities), **Fees paid to Key Partners**, **Information Technology** (laptop, etc), etc
 - B. Product/Service cost
 - i. Cost incurred in **building the product** (unit cost * # of units) or delivering the service
 - ii. Cost incurred in **delivering the product** (channel, distribution, etc)
 - iii. Marketing costs associated with above
 - C. Total Cost = A + B
- **Share on Team Wall.**

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Activity (Team) - Update BMC



- Share your updated BMC on team wall with approx. figures for **Revenue** and **Cost**
- By now, you should have a good handle on
 - **Value Proposition**
 - **Customer Segments**
 - **Customer Relationship & Channel**
 - **Revenue and Cost**
- NOTE: Above are assumptions for now
 - They need to be validated (if you can, that is great but it is beyond the scope of this course.)

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Recommended Videos



1. Long-Term Forecast (5:14): <https://youtu.be/npGXPUCOx3M>

What's the purpose of five-year projections?

What will investors want to know about these projections?

What are the assumptions underlying our projections? Are they realistic?

Who else must look at my long-term forecast once it is created?

NOTE – Watch the video and reflect on the above questions.

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Recommended Videos



2. Balance Sheet (4:35): <https://youtu.be/LTJUoy3kQ5c>

What information is on a balance sheet?

What is included in my liabilities?

What is our debt-to-equity ratio? Why is this important?

What will investors want to know about my balance sheet?

NOTE – Watch the video and reflect on the above questions.

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3. Income Statement (6:36): <https://youtu.be/Uw5zGAIP1MI>

What's the difference between sales and income?

How do I equate gross profit margin?

What are the main drivers of my revenues and costs?

Which is more important for my business right now: growing quickly or operating profitably?

NOTE – Watch the video and reflect on the above questions.

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4. Cash Flow (4:21): https://youtu.be/h_tx6NF_nD8

Do I understand the difference between cash flow and net income?

How do I stay on top of my account receivables?

What are the best ways to manage our cash flow?

Where does cash flow fit into my balance sheet?

NOTE – Watch the video and reflect on the above questions.



THANK YOU

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